

GENERAL EDUCATION: CONTEMPORARY WORLD

Globalization -**The intensification of all the interactions (economic, political, social) among the different actors in the international system**

Globalization is a term used to describe how trade and technology have made the world into a more connected and interdependent place. Globalization also captures in its scope the economic and social changes that have come about as a result. It may be pictured as the threads of an immense spider web formed over millennia, with the number and reach of these threads increasing over time.

1. Development of Globalization

- Traders traveled vast distances in ancient times to buy commodities that were rare and expensive for sale in their homelands.
- The Industrial Revolution brought advances in transportation and communication in the 19th century that eased trade across borders.
- The critical steps in the path to globalization came with the North American Free Trade Agreement (NAFTA), signed in 1993. One of NAFTA's many effects was to give American auto manufacturers the incentive to relocate a portion of their manufacturing to Mexico where they could save on the costs of labor.
- The Bretton Wood Conference where GATT or the General Agreement on Tariff and Trade was born.
- Governments worldwide have integrated a free market economic system through fiscal policies and trade agreements over the last 20 years. The core of most trade agreements is the removal or reduction of tariffs

2. Pros and Cons of Globalization

A. Pros

- A larger market for goods and services
- Cheaper consumer prices
- Outsourcing can benefit both domestic firms and foreign labor
- Increased standard of living

B. Cons

- Concentrates wealth in richer countries
- Some poorer countries can be left behind
- Poorer countries can be exploited of their labor and physical & intellectual resources
- Cultures and the products consumed around the world can become homogenized

3. Perspectives in Globalization

A. Hyperglobalist

- View globalization as purely economic
- Positive Effects of Globalization

B. Skeptics

- **View globalization as** Not 'Globalization' but Americanization or Westernization

C. Transformationalist

- Middle-ground
- Globalization as Transformation of Human lives
- Both Positive and Negative sides Negative Effects of Globalization

2. Ways to achieve Globalization

A. Liberalization of Trading Policies

B. Foreign Direct Investment

C. Privatization

D. Presence of Multinational Companies

E. Contractualization

3. Global Economy

A. Historical Background

World War II

- War between the Allied Powers (USA, Britain, France, and USSR) and the Axis Powers (Germany, Italy, and Japan)
- Political (World Domination) and Economic (Resources)
- Allied powers win in 1945
- Devastation after the war = Developmental problems
- The need for global cooperation for development
- Establishment of International Institutions due to the intensified relationships among the different members of the community (Globalization)

B. Bretton Wood Conference

- 1944 – Bretton Woods, New Hampshire; 44 delegates
- GOLD STANDARD based on US Dollars
- Adjustable-peg exchange rate system
- Created the International Bank of Reconstruction and Development (IBRD) – now known as the World Bank – and the International Monetary Fund (IMF)
- 1947 – Attempt to create an International Trade Organization (ITO)
- The US Congress vetoed the ITO. Alternatively, the General Agreement on Tariffs and Trade (GATT) was created. This would later become the World Trade Organization (WTO).

C. Problems encountered after the Bretton Wood Conference

- Cold War
- 1971 – Abandonment of the Gold Standard
- Triffin Dilemma – international liquidity → US provides more dollars ← risk in converting dollars into gold
- Vietnam War, Korean War, US Deficits, Oil Crisis

D. The Global Financial Institution

I. The World Bank

5 Institutions under the World Bank (worldbank.org)

1. International Bank of Reconstruction and Development – loans for middle-income and deserving low-income countries
2. International Finance Corporation (IFC) – loans for the private sector
3. International Development Association (IDA) – interest-free loans (credits) to poorest
4. Multilateral Investment Guarantee Agency (MIGA) – encourage foreign direct investments
5. International Center for Settlement of Investment Disputes (ICSID) – conciliation and arbitration of investment disputes

II. International Monetary Fund

Functions:

1. Foster global monetary cooperation
2. Secure financial stability
3. Facilitate international trade
4. Promote higher employment
5. Reduce poverty

III. World Trade Organization

- Formerly the General Agreement on Tariffs and Trade (GATT)
- Became the WTO in 1995
- Facilitation of international trade is the main goal of the WTO
- Rules-based system was established

Functions

- **Trade Negotiations**
- **Dispute Settlement**
- **Implementation and Monitoring**
- **Building Trade Capacity**

Basic Information

MEMBERSHIP: 164 members and 24 observers

DIRECTOR-GENERAL: Ngozi Okonjo-Iweala

HEADQUARTERS: Geneva, Switzerland

Definition of Terms:

1. Triffin Dilemma

- In October 1959, a Yale professor sat in front of Congress' Joint Economic Committee and calmly announced that the Bretton Woods system was doomed.
- The dollar could not survive as the world's reserve currency without requiring the United States to run ever-growing deficits. This dismal scientist was Belgium-born Robert Triffin, and he was right.
- The Bretton Woods system collapsed in 1971, and today the dollar's role as the reserve currency has the United States running the largest current account deficit in the world. Concentrates wealth in richer countries. Some poorer countries can be left behind.
- Poorer countries can be exploited of their labor and physical & intellectual resources. Cultures and the products consumed around the world can become homogenized.

2. Floating Currency

- A floating exchange rate is a regime where the currency price of a nation is set by the forex market based on supply and demand relative to other currencies. This is in contrast to a fixed exchange rate, in which the government entirely or predominantly determines the rate.
- A floating exchange rate is one that is determined by supply and demand on the open market.
- A floating exchange rate doesn't mean countries don't try to intervene and manipulate their currency's price, since governments and central banks regularly attempt to keep their currency price favorable for international trade.
- A fixed exchange is another currency model, and this is where a currency is pegged or held at the same value relative to another currency.
- Floating exchange rates became more popular after the failure of the gold standard and the Bretton Woods agreement.

3. International Liquidity

- The term 'International liquidity' refers to the supply of certain categories of financial assets or claims which are created by all the different countries and international financial organizations in the international community, as receptacles of calculable ready purchasing power over all the domestic currencies in vogue"

4. Privatization

- transfer of government services or assets to the private sector. State-owned assets may be sold to private owners, or statutory restrictions on competition between privately and publicly owned enterprises may be lifted. Services formerly provided by government may be contracted out. The objective is often to increase government efficiency; implementation may affect government revenue either positively or negatively.

The Inter-State System

1. Configuration of World Power

A. BIPOLARITY

- Two dominant powers in the world
- USA and USSR emerged as world powers after WWII
- Engaged in the COLD WAR

B. UNIPOLARITY

- A **single world power exists (hegemon)**
- USA became the sole power after the disintegration of USSR

C. MULTIPOLARITY

- There are **multiple world powers**
- Our situation today can be described as such
- Unlike before, power is measured by **economic prosperity**

2. International Law

- Usually, these refers to treaties and agreements among the different actors
- Not the same as domestic laws
- Due to the sovereignty of state actors, they are based upon CONSENT
- No assurance of COMPLIANCE especially from powerful states

3. UNITED NATIONS

- Predecessor: League of Nations (after WWI in 1920)
- Established after WWII in 1945 (San Francisco Charter of 1945)
- HEADQUARTERS: New York
- MEMBERSHIP: 193 states
- LEADERSHIP: António Guterres
- MANDATE: to end international war and promote social and economic development

Organs of United Nations

1. General Assembly

- Meeting of all member states
- Recommendatory function only
- appointing the Secretary-General on the recommendation of the Security Council
- electing the non-permanent members of the Security Council
- approving the UN budget

2. Security Council

- Composed of 5 permanent members (USA, Russia, France, UK, China)
- 10 elected members – 2-year term
- Intervention arm (international security)
- Legitimate use of force

3. International Court of Justice

- To decide legal disputes among states
- Recommend sanctions
- The seat of the Court is at the Peace Palace in The Hague (Netherlands).
- The Court is composed of 15 judges, who are elected for terms of office of nine years by the United Nations General Assembly and the Security Council. It is assisted by a Registry, its administrative organ. Its official languages are English and French.
- Secretariat
- Composed of the Secretary-General (presides the General Assembly meeting) and Staff
- Manages the general assembly
- Record keeper of the sessions

- The Secretariat is organized along departmental lines, with each department or office having a distinct area of action and responsibility. Offices and departments coordinate with each other to ensure cohesion in the UN's programme of work.

VII. ASEAN

1. Basic Information

- **Establishment: August 8, 1967 (Bangkok Declaration or ASEAN Declaration)**
- **Founding Members: Indonesia, Malaysia, Singapore, Thailand and Philippines**
- **Other members: Brunei Darussalam (January 4, 1984); Viet Nam (July 28, 1995); Laos and Myanmar (July 23, 1997); Cambodia (April 30, 1999); Timor Leste (2023)**

2. Objectives

- To **accelerate the economic growth, social progress and cultural development in the region** through joint endeavors in the **spirit of equality and partnership** in order to strengthen the foundation for a prosperous and peaceful community of Southeast Asian Nations;
- To **promote regional peace and stability** through abiding respect for justice and the rule of law in the relationship among countries of the region and adherence to the principles of the United Nations Charter;
- To **promote active collaboration and mutual assistance** on matters of common interest in the economic, social, cultural, technical, scientific and administrative fields
- To **provide assistance** to each other in the form of training and research facilities in the educational, professional, technical and administrative spheres;

3. Principles

- **Mutual respect** for the independence, sovereignty, equality, territorial integrity, and national identity of all nations;
- The right of every State to lead its **national existence free from external interference, subversion or coercion**;
- **Non-interference** in the internal affairs of one another;
- Settlement of differences or disputes by **peaceful manner**;
- **Renunciation of the threat or use of force**; and
- **Effective cooperation among themselves**

1. Division after the Cold War

- The EAST and WEST Dichotomy was created
- Western countries are considered to be more advanced as compared to Eastern counterparts
- The West promoting their VALUES as UNIVERSAL; the East trying to adapt these values OR trying to resist (to find own identity)

2. Clash of Civilization

- Samuel Huntington believed that the conflicts after the Cold War are not IDEOLOGICAL but, CULTURAL
- More particularly, it will be based on RELIGIOUS BELIEFS
- The September 11 attack on the World Trade Center gave this theory more credence
- Different Division of the World
 1. Sinic: the common culture of China and Chinese communities in Southeast Asia. Includes Vietnam and Korea.
 2. Japanese: Japanese culture as distinctively different from the rest of Asia.
 3. Hindu: identified as the core Indian civilization.
 4. Islamic: Originating on the Arabian Peninsula, spread across North Africa, Iberian Peninsula and Central Asia. Arab, Turkic, Persian and Malay are among the many distinct subdivisions within Islam.
 5. Orthodox: centered in Russia. Separate from Western Christendom.
 6. Western: centered in Europe and North America.
 7. Latin American: Central and South American countries with a past of a corporatist, authoritarian culture. Majority of countries are of a Catholic majority.
 8. Africa: while the continent lacks a sense of a pan-African identity, Huntington claims that Africans are also increasingly developing a sense of African Identity.
- Decline of the Western Power
 1. The current Western decline is a very slow process and is not an immediate threat to World powers today.
 2. Decline of power does not occur in a straight line; it may reverse, speed up, or pause.
 3. The power of a state is controlled and influenced by the behavior and decisions of those holding power.
- Clashes of Civilization

1. The West's ability to maintain military superiority through the nonproliferation of emerging powers.
2. The promotion of Western political values such as human rights and democracy.
3. The Restriction of non-Western immigrants and refugees into Western societies.
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- 7.

4. The Division using Brandt Line

- The world is divided by an imaginary line called the **Brandt Line**
- Incidentally, most of the countries **NORTH** of this line are developed ones. Meanwhile, those **SOUTH** of this line are developing ones.
- There is a strong **anti-globalization (homogenizing)** movement from the Global South

Characteristics of the North Characteristics of the South

Global North	Global South
1/4 of the world's people	3/4 of the world's people
4/5 of world's income	1/5 of world's income
Average life expectancy more than 70 years	Average life expectancy of 50 years
Most people have enough to eat	1/5 or more suffer from hunger and malnutrition
Most people are educated	1/2 of the people have little chance of any education
Over 90% of the world's manufacturing industry	less than 10% of the world's manufacturing industry
About 96% of the world's spending on research and development	4% of the world's research and development

1. The climate crisis

This is the big one. A toxic combination of dependence on fossil fuels and unsustainable industrial practices has created extremely dangerous weather events that threaten to destroy terrestrial and marine ecosystems as well as our access to basic resources like food and water.

Most of the world's recent natural disasters – including superstorms, freak floods and out of control fires, as well as some of hottest and coldest seasons on record – are the direct result of man-made, fossil-fuel induced global warming.

2. Marine ecosystem deterioration

- Our oceans aren't doing much better. Global warming has caused an increase in coral bleaching, killing ecosystems sustained by the nutrients the coral provide, including fishing grounds on which local communities across the world depend.
- We are also endangering countless marine species with unsustainable fishing practices like overfishing and bycatch, where dolphins and turtles are caught in commercial fishing nets and later discarded as waste. Meanwhile, pollutants like boat fuel, pesticides, fertiliser, sewage and plastics are causing ocean dead zones – spots where no organism can live.

3. The hunger crisis and water scarcity

- One in nine people in the world go hungry each day and suffer from nutritional deficiencies as a result. Current estimates show that 957 million people across 93 countries do not have enough to eat.
- The problem isn't that we aren't producing enough food; it's that people lack access to food. Many people don't have enough money to buy basic foodstuff and cannot grow their own. And the number of displaced persons who suffer from food insecurity is increasing too. According to the World Food Programme (WFP), countries with the highest level of food insecurity also have the highest outward migration of refugees.

4. The hunger crisis and COVID-19

- The ongoing COVID-19 pandemic severely exacerbated the food and water crisis, seeing food and fuel prices rise dramatically due to supply chain issues, failing economies, and an energy crisis brought on by forced lockdowns and closed borders.
- The hunger crisis and the war in Ukraine . The recent Russian invasion of Ukraine further complicates this problem. Sanctions against Russia, one of the world's biggest producers of fossil fuels, have further increased energy prices, causing food prices to rise too, ultimately making it much harder on people already struggling to afford food. Ukraine is also one of the

world's largest exporters of grain, which it has had to stop producing due to the war. Most of these exports were due to countries suffering food shortages. Together, Russia and Ukraine are also the world's largest exporter of fertiliser. The war has caused a lack of supply, creating higher prices for farmers that ultimately translate to higher food prices.

5. Health Issues

- The current overwhelming threat to our overall global health and well-being is the COVID-19 pandemic.
- Even though we now have access to effective vaccines and treatment is better understood, more than six million people have died, and the virus continues to threaten vulnerable populations across the world, especially in those areas where access to healthcare is limited. There have also been serious socio-economic side effects that will further contribute to health issues, including mental health issues, for a long time to come.

6. Gender Inequality

- There are well-established historic and social barriers to economic and personal freedom for women across the world. While much has been done to alleviate this, there is still quite a way to go, especially in communities where women are disempowered from a young age, held back from attending school for financial reasons or because of the perception that their education does not matter.
- Globally, women still earn less than men, and women with children tend to earn even less. Meanwhile, it is estimated that one in three women are subjected to physical or sexual violence. This places women at greater risk of mental health issues caused by trauma, as well as sexually transmitted infections.
- Other diseases also affect health on a global scale. Fortunately, increased access to clean water and improved education around proper sanitation has resulted in an overall decrease in the prevalence of some communicable diseases like hepatitis, cholera, malaria, tuberculosis and HIV. And while the focus of the global healthcare community has now shifted to non-communicable diseases like cancer, diabetes, chronic respiratory and cardiovascular diseases, all of these health problems remain a concern in countries that lack healthcare resources.

International Organization

Organization	Nature	Director	Members
North Atlantic Treaty Organization	NATO promotes democratic values and enables members to consult and cooperate on defense and security-related issues to solve problems, build trust and, in the long run, prevent conflict. NATO is committed to the peaceful resolution of disputes. If diplomatic efforts fail, it has the military power to undertake crisis-management operations	Jens Stoltenberg	ALBANIA (2009) BELGIUM (1949) BULGARIA (2004) CANADA (1949) CROATIA (2009) CZECHIA (1999) DENMARK (1949) ESTONIA (2004) FRANCE (1949) GERMANY (1955) GREECE (1952) HUNGARY (1999) ICELAND (1949) ITALY (1949) LATVIA (2004) LITHUANIA (2004) LUXEMBOURG (1949) MONTENEGRO (2017) NETHERLANDS (1949) NORTH MACEDONIA (2020) NORWAY (1949) POLAND (1999) PORTUGAL (1949) ROMANIA (2004) SLOVAKIA (2004) SLOVENIA (2004) SPAIN (1982) TÜRKIYE (1952) THE UNITED KINGDOM (1949) THE UNITED STATES (1949)
Asia Pacific Economic	To support	Dr Rebecca Fatima	Australia; Brunei

Cooperation	sustainable economic growth and prosperity in the Asia-Pacific region. United in our drive to build a dynamic and harmonious Asia-Pacific community by championing free and open trade and investment, promoting and accelerating regional economic integration, encouraging economic and technical cooperation, enhancing human security, and facilitating a favorable and sustainable business environment. Our initiatives turn policy goals into concrete results and agreements into tangible benefits.	Sta Maria	Darussalam; Canada; Chile; People's Republic of China; Hong Kong, China; Indonesia; Japan; Republic of Korea; Malaysia; Mexico; New Zealand; Papua New Guinea; Peru; the Philippines; the Russian Federation; Singapore; Chinese Taipei; Thailand; the United States of America;
OPEC Organization of Petroleum Exporting Countries	to coordinate and unify the petroleum policies of its Member Countries and ensure the stabilization of oil markets in order to secure an efficient, economic and regular supply of petroleum to consumers, a steady income to producers and a fair return on capital for those investing in the petroleum industry.	HE Al Ghais	Republic of Iran, Iraq, Kuwait, Saudi Arabia and Venezuela are the Founder Members of the Organization. These countries were later joined by Qatar (1961), Indonesia (1962), Libya (1962), the United Arab Emirates (1967), Algeria (1969), Nigeria (1971), Ecuador (1973), Gabon (1975),

			Angola (2007), Equatorial Guinea (2017) and Congo (2018).
North American Free Trade Agreement (NAFTA)	NAFTA provides coverage to services except for aviation transport, maritime, and basic telecommunications. The agreement also provides intellectual property rights protection in a variety of areas including patent, trademark, and copyrighted material. The government procurement provisions of the NAFTA apply not only to goods but to contracts for services and construction at the federal level. Additionally, U.S. investors are guaranteed equal treatment to domestic investors in Mexico and Canada.	Shri Steephen	Mexico, Canada, and the United States
G8	The G8 is a forum that provides the opportunity for its members to co-operate in addressing global challenges. The standards it sets, commitments it makes and steps it takes aim to drive prosperity and economic growth all over the world.	Gary Carroll	France, Germany, Italy, the United Kingdom, Japan, the United States, Canada, and Russia
BIMP EAGA	Brunei Darussalam, Indonesia, Malaysia	Dato' Ahmad Zamri bin Khairuddin	Brunei Darussalam, Indonesia, Malaysia

	and the Philippines created the East ASEAN Growth Area to shift economic activities from resource extraction to higher levels of processing and value-added production, focusing on industries that adopt clean and green technologies.		and the Philippines
EU European Union	The common principles and values that underlie life in the EU: freedom, democracy, equality and the rule of law, promoting peace and stability.	European Parliament president – Roberta Metsola European Council president – Charles Michel European Commission president – Ursula von der Leyen	Austria, Belgium, Bulgaria, Croatia, Republic of Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Ireland, Italy, Latvia, Lithuania, Luxembourg, Malta, Netherlands, Poland, Portugal, Romania, Slovakia, Slovenia, Spain and Sweden.

Sustainable Development Goal

1. Eliminate Poverty
2. Erase Hunger
3. Establish Good Health and Well-Being
4. Provide Quality Education
5. Enforce Gender Equality
6. Improve Clean Water and Sanitation

7. Grow Affordable and Clean Energy
8. Create Decent Work and Economic Growth
9. Increase Industry, Innovation, and Infrastructure
10. Reduce Inequality
11. Mobilize Sustainable Cities and Communities
12. Influence Responsible Consumption and Production
13. Organize Climate Action
14. Develop Life Below Water
15. Advance Life On Land
16. Guarantee Peace, Justice, and Strong Institutions
17. Build Partnerships for the Goals

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